

ASCII MASTER FLOW – PANEL 1/12: Why the regulatory state emerged

ROOT QUESTION

How can the State govern complex markets and rights without daily ministerial case control?

LIBERALISATION/SPECIALISATION

less direct production -> more rule-setting, network access, prudential oversight

-> consumer/competition protection -> specialised enforcement and adjudication.

+++ MARKET FAILURES ----- monopoly | information asymmetry | externality | systemic risk

+++ GOVERNANCE NEEDS ----- expertise | continuity | credible commitment | rapid updating

+++ CONSTITUTIONAL NEED - mandate | fairness | reasons | appeal | review | accountability

VERDICT

Regulation is a change in State technique, not disappearance of the State.

ASCII MASTER FLOW – PANEL 2/12: Source, function and decisional character

BODY / AUTHORITY

+-----+-----+-----+		
V	V	V
LEGAL SOURCE	PRIMARY FUNCTION	CHARACTER OF ACT
constitutional	regulatory	quasi-legislative rule
statutory	advisory	administrative inquiry
executive	investigative	quasi-judicial order

EXAMPLES

RBI/SEBI/TRAI/CERC/IRDAI/CCI -> statutory regulators with different mandates.

MASTER TRAP

one body may occupy several boxes; it is not quasi-judicial in every function.

ASCII MASTER FLOW – PANEL 3/12: Regulatory cycle and separation problem

PARENT ACT

v

regulation/standard -> licence/tariff -> data/monitoring -> investigation

v

show-cause notice -> hearing -> reasoned order/penalty -> statutory appeal

v

High Court/Supreme Court constitutional review.

CONCENTRATION RISK

make rule + investigate + prosecute + decide -> confirmation bias/self-vindication.

SAFEGUARDS

separate wings | disclosure | unbiased member | recusal | reasons | external appeal.

ANSWER STRIP

Efficiency can justify combined functions; fairness requires functional separation.

ASCII MASTER FLOW – PANEL 4/12: Natural justice and delegated-power cases

In re Delhi Laws Act (1951)

-> essential legislative function cannot be abdicated.

v

A.K. Kraipak v. Union of India (1969)

-> bias rule; administrative/quasi-judicial line is thin.

v

Maneka Gandhi (1978) -> fair, just and reasonable procedure.

v

S.N. Mukherjee v. Union of India (1990) -> reasoned decision supports review.

NATURAL-JUSTICE CORE

notice + hearing + no bias + relevant evidence + speaking order.

LIMIT

procedure is context-sensitive; statutory silence is not permission for arbitrariness.

ASCII MASTER FLOW – PANEL 5/12: Regulator, tribunal, commission and court

COURT

general constitutional/statutory adjudication + formal judicial authority.

TRIBUNAL

specialised statutory adjudication -> merits appeal/review chain.

REGULATOR

sector rule/licence/supervision/enforcement + case-specific adjudication when empowered.

COMMISSION

name alone proves nothing: may advise, investigate, regulate or adjudicate.

L. Chandra Kumar (1997)

tribunalisation cannot remove High Court judicial review.

TRAP

specialised != tribunal | civil-court powers != court | recommendation != binding order.

ASCII MASTER FLOW – PANEL 6/12: Regulator power, appealability and judicial control

Competition Commission of India v. SATI (2010)

-> statutory stage and character determine hearing/appealability;
not every CCI step is a final quasi-judicial order.

Cellular Operators Association of India v. TRAI (2016)

-> regulation must remain within statute and satisfy non-arbitrariness.

APPEAL CHAIN EXAMPLES

SEBI -> SAT -> Supreme Court question of law.

CCI -> NCLAT -> Supreme Court.

TRAI dispute/appeal field -> TDSAT -> Supreme Court.

CERC/SERC -> APTEL -> Supreme Court.

LIMIT

statutory merits appeal differs from Article 226/227 legality review.

ASCII MASTER FLOW – PANEL 7/12: Independence, accountability and capture

INDEPENDENCE AXES

appointment | tenure | removal | finance | staff/data | decisional non-interference.

CAPTURE BRANCHES

industry -> information/revolving door/cognitive dependence.

political -> short-term direction or insecure tenure.

bureaucratic -> parent ministry treats regulator as subordinate office.

ACCOUNTABILITY

parent Act | Parliament/report | CAG where applicable | RTI
| consultation | published reasons | appeal | judicial review.

ANSWER STRIP

Independence means insulation from case-specific control, not freedom from public reasons.

ASCII MASTER FLOW – PANEL 8/12: Digital and platform regulation with legal-status firewall

DIGITAL HARMS

network effects | data concentration | self-preferencing | dark patterns
| algorithmic opacity | consumer/child/cyber risk.

TOOL CHOICE

competition law ---+-- data-protection duty
consumer law -----+-- sector regulation
cyber law -----+-- interoperability/access obligation.

REFORM TEST

clear harm -> statutory power -> impact assessment -> consultation
-> conflict control -> proportionate rule -> appeal -> ex-post review.

CURRENT FIREWALL

dated Act/rule/order != draft Bill/committee paper/proposal.

ASCII MASTER FLOW – PANEL 9/12: Enabling laws and appellate routes

SOURCE → REGULATOR → APPEAL

RBI Act 1934 / Banking Regulation Act 1949 → RBI → remedy depends on power

SEBI Act 1992 → SEBI → SAT → Supreme Court

TRAI Act 1997 → TRAI → TDSAT → Supreme Court

Competition Act 2002 → CCI → NCLAT → Supreme Court

Electricity Act 2003 → CERC/SERC → APTEL → Supreme Court

PNGRB Act 2006 → downstream/midstream field; crude oil/gas production excluded

ANSWER STRIP

Never infer power or appeal from an institutional label; trace the parent Act.

ASCII MASTER FLOW – PANEL 10/12: Quasi-judicial decision protocol

STATUTORY POWER -> COMPETENT STAGE -> NOTICE & DISCLOSURE

- > OPPORTUNITY TO ANSWER -> NO BIAS / RECUSAL -> RELEVANT EVIDENCE
- > REASONED PROPORTIONATE ORDER -> STATUTORY APPEAL
- > CONSTITUTIONAL REVIEW ON ITS PROPER FIELD

DOCTRINE

A.K. Kraipak v. Union of India (1969): thin administrative/quasi-judicial line

S.N. Mukherjee v. Union of India (1990): reasons support review

L. Chandra Kumar (1997): constitutional review floor

Competition Commission of India v. SAIL (2010): statutory stage controls appealability

ANSWER STRIP

Natural justice is context-sensitive, but expertise is not a licence for arbitrariness.

ASCII MASTER FLOW – PANEL 11/12: PYQ execution and reform diagnosis

PRELIMS

source -> function -> jurisdiction exclusion -> appellate route -> current-status firewall

MAINS

identify demand -> qualified thesis -> statute/case -> mechanism
-> limitation/capture -> answer-specific reform -> balanced verdict

REFORM MATCH

mandate gap -> clarify law | capacity gap -> staff/data
bias risk -> functional separation | capture -> conflicts/consultation
fragmentation -> referral protocol | weak remedy -> coherent appeal

ANSWER STRIP

A reform earns marks when it repairs the diagnosed institutional failure.

ASCII MASTER FLOW – PANEL 12/12: UPSC synthesis: calibrated independence under law

PRELIMS FIREWALL

statutory != regulatory != quasi-judicial | dominance != abuse
| NGT != CPCB | TRAI != TDSAT | CCI appeal=NCLAT
| regulator independent != beyond Parliament | proposal != law.

MAINS SPINE

rationale -> three axes -> regulatory cycle -> natural justice
-> institutional comparison -> appeal/review -> independence/capture
-> digital boundary -> reform.

PYQ SPINE

NGT/CPCB | FSSAI source | CCI dominance | PNGRB jurisdiction.

VERDICT

expert regulation is legitimate only when mandate, fairness, reasons and review converge.